

Lease-Accounting Rules May Have Hurt Companies' Valuations, Study Says

New academic research suggests certain future standards could affect stock prices

By Mark Maurer

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Urban Outfitters Inc. was among the retailers that were the most reliant on operating leases in their operations and reported abnormal stock returns around their earnings announcement for the first quarter of 2019, a study found. GABBY JONES/BLOOMBERG NEWS

A recent change in how companies are expected to account for and report operating leases on company balance sheets may have delivered a jolt to their share prices, raising questions about how future rules could affect companies' valuations.

The initial recognition of operating leases on balance sheets could have led companies' equity valuations to shrink, new academic research suggests. U.S.-listed public companies with significant operating leases lost stock value, on average, during the quarter in which they first recognized those leases, according to a study conducted by researchers at [Florida International University](#).

Before the rule, which started going into effect in December 2018, public

companies used to disclose operating leases in the footnotes of their financial statements. The Financial Accounting Standards Board required companies to treat operating leases as liabilities on their balance sheets in a move to heighten transparency for lenders and investors.



Jonathan Milian is an accounting professor at Florida International University and co-author of the study. KARELLE PHOTOGRAPHY

For the most part, public companies experienced little more than a one-time shock to their stock returns. But future accounting standards could have similar unfavorable consequences on businesses, said Jonathan Milian, an accounting professor at Florida International University and co-author of the study.

“If standard-setters decide to shift more information from the footnotes to the balance sheet, it could have a negative impact on stock returns,” Mr. Milian said in an interview. Such shifts ultimately make it easier for investors to use financial statements, but they could hurt companies in the near term, he said.

The effect on stock returns was especially noticeable for the retail industry, in which companies traditionally have significant operating leases. Urban Outfitters Inc., Foot Locker Inc., Abercrombie & Fitch Co. and Dick’s Sporting Goods Inc. were among the retailers that were the most reliant on operating leases in their operations and reported abnormal stock returns around their earnings announcement for the first quarter of 2019, the study said.

Adam Aron, chief executive of AMC Entertainment Holdings Inc., sees a correlation between the decline in his company’s stock price and the adoption of the lease-accounting standard. But he doesn’t blame the standard itself. Instead, he says, this is because certain financial data providers are erroneously categorizing the Leawood, Kan.-based movie theater chain’s operating leases as debt

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Data providers' categorization of AMC's leverage has made the company seem less attractive to asset managers and algorithmic traders that rely on these data providers, Mr. Aron said on an earnings call last year.

Mr. Aron said the situation contributed to a 54.6% drop in the company's stock price, to about \$6.36, in the past year. "This is one reason there's been a massive increase in the shorting of AMC's shares," Mr. Aron said in an interview. The company has also faced a decline in box-office sales like other movie-theater chains, analysts say.

The lease-accounting rule change also presents an opportunity for companies to improve their returns by using the unearthed leasing data to optimize the financing process and make better decisions about internal controls, said Len Neuhaus, vice president of lease accounting at LeaseAccelerator Inc., a Reston, Va.-based software provider.

The Florida International University researchers tracked the stock returns of more than 2,000 U.S.-listed public companies during 3-, 11- and 21-trading day intervals around their first-quarter 2019 earnings announcement, or at the time the previously disclosed leases first became recognized.

The first quarter of 2019 was particularly relevant because the U.S. public companies adopted the lease accounting standard during that time. Private companies and nonprofits are now preparing for the standard, which they must implement for the fiscal year and interim periods beginning after Dec. 15, 2020.

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